Submetering Operating Benchmark

SUBVERTICAL LENS

Building billing platforms and meter-asset owners are economically distinct. Billing platforms earn recurring data and compliance fees with moderate reinvestment; meter owners report higher EBITDA but require materially heavier replacement capital and longer payback.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Building **6%** Meter owner **7%**	The 6% building-platform estimate is anchored near ista's 5.2% growth and normalizes Techem's stronger result. The 7% meter-owner estimate is deliberately below SMS's 13% ILARR growth because funded rollout and acquisitions inflated reported rates.	MEDIUM
EBITDA margin	Building **47%** Meter owner **60%**	The 47% building estimate is anchored to Techem's roughly 48% disclosed margin and ista's 40%-plus evidence. The 60% meter-owner estimate sits between SMS at about 47% and Calisen at 74%, recognizing that replacement capital sits below EBITDA.	MEDIUM
Maintenance capex / revenue	Building **9%** Meter owner **30%**	We use 9% for building platforms because they replace relatively inexpensive devices, batteries, communications equipment and IT. We use 30% for meter owners because their owned estates require heavy replacement capital, although the sustaining portion is not separately reported.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Building **8 / 14 yrs** Meter owner **3 / 13 yrs**	Building contracts need enough initial term to amortize installation, while embedded devices, billing history and data migration extend the relationship to roughly 14 years. Meter-owner legal terms can be short, but revenue can survive supplier switching for 12-15 years.	MEDIUM-LOW
Utilization exposure	Building **Low** Meter owner **Moderate**	Building-platform exposure is Low because installed meters continue earning regardless of daily consumption. Meter-owner exposure is Moderate because installation throughput, supplier rollout decisions, meter removals and field-team productivity still matter.	MEDIUM
New-unit / customer payback	Building **4.0 yrs** Meter owner **6.0 yrs**	The four-year building estimate centers the ista, Techem and CARMA cases, where lower-cost devices earn billing and data fees. The six-year meter-owner estimate sits between SMS at 5.5 years and Calisen at 6.5 years.	MEDIUM-LOW
B2B vs B2C	Building **B2B; residential end users** Meter owner **Predominantly B2B**	Building owners and managers contract for submetering even when residents consume the utility and receive bills. Meter owners contract with energy suppliers or retailers, making both archetypes economically B2B.	HIGH

Submetering Operating Benchmark

BUSINESS UNIVERSE

The six companies span building billing, meter-asset ownership and a mixed metering platform. Their profiles show why similar recurring-revenue labels conceal different field-service, replacement-capital and contract economics.

Energy Assets

Evidence. More than 1.5 million managed assets.
Business. UK metering-and-data provider inside a wider network construction, ownership, water, fibre, and utility-services platform; customers need compliant metering, data, and field service.
Economics. Unit: installed asset with attached data/service. Revenue mixes recurring fees with installation and maintenance. Integrated workflows aid retention; project exposure and segment contamination weaken comparability. Capital supports meters, communications, IT, and vehicles.

ista

Evidence. 45 million-plus devices, 14 million-plus units, 460,000-plus customers, EUR1,279 million 2025 sales, and EUR260 million investment.
Business. European platform installing apartment meters and allocators, then providing recurring consumption allocation, billing, data, and sustainability workflows to owners and managers.
Economics. Unit: managed dwelling/device footprint. Regulation-shaped demand and dense estates support margin; access, hardware, resident communication, and data migration deter switching. Capital refreshes devices, batteries, communications, and digital infrastructure.

Techem

Evidence. 13 million-plus dwellings, 62-70 million devices; 2025 submetering revenue EUR1,041.5 million and group EBITDA EUR557 million.
Business. European provider installing apartment devices and monetizing recurring heating/water allocation, billing, data, and digital building services for owners and managers.
Economics. Unit: serviced dwelling/device set. Regulation-shaped demand, radio infrastructure, and embedded billing deter switching; field service and procurement remain costs. The benchmark excludes energy contracting.

Smart Metering Systems

Evidence. Combined group: 6 million-plus meters in 2025.
Business. UK platform funding, installing, and managing supplier-facing smart meters for recurring rent and data income; batteries and EV-charging are excluded.
Economics. Unit: owned contracted meter. Ownership and workflow integration support tenure; rollout and supplier procurement drive growth and service utilization. Hardware-plus-installation makes replacement capital heavy.

Calisen

Evidence. 2023: 15.2 million meters, GBP293.9 million MAP revenue, GBP265.4 million EBITDA, GBP355.5 million capex, GBP219 meter capex, GBP23.8 ARPM.
Business. UK asset owner funding meters for energy retailers; the benchmark centers on MAP Services and excludes EV charging, heat pumps, and other transition activities.
Economics. Unit: owned revenue-generating meter. Policy drives installs; charges can survive supplier switching. Month-to-month legal orders contrast with 10-20-year economics. High EBITDA requires heavy replacement capital.

CARMA

Evidence. 135,000-plus units in 1,000-plus buildings across four provinces; long-term inflation-protected contracts and 11 million-plus daily reads.
Business. Canadian suite-level metering and billing platform helping owners and managers allocate utilities, provide consumption visibility, and administer resident accounts.
Economics. Unit: contracted metered suite. Devices, data, billing, and move workflows deter switching; property decisions or service failures cause churn. Capital funds meters, communications, IT, and reinstallation.

KEY DILIGENCE QUESTIONS

1. Obtain clean metering-segment financials for Energy Assets and CARMA.
2. Separate rollout and acquisition capex from true estate replacement at SMS and Calisen.
3. Confirm standard contract terms, renewal cohorts and churn for ista and Techem.